External Finance

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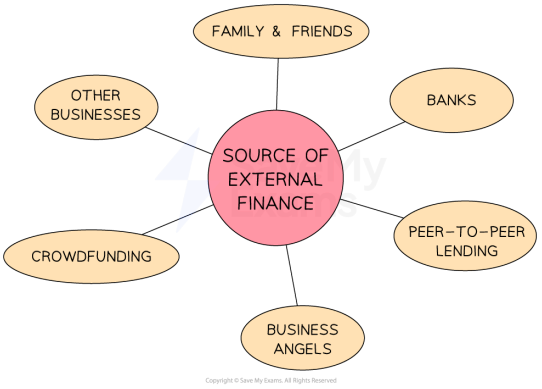
Sources of external finance

- **External finance** is sourced from outside of the business

Key sources of external finance



Sources of external finance include family and friends, banks, peer-to-peer funding, business angels, crowdfunding and other businesses

Family and friends

- Small business owners approach close acquaintances to invest in or lend money to a business

Advantages and disadvantages of family and friends as a source of finance

Advantages	Disadvantages
• Usually a very **cheap source** of funds • May have no strings attached (e.g. a **share** of the business) and can be provided to the business on very **flexible terms**	• **Relationships may be damaged** if the finance is not repaid

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

Banks

business from a bank or lender that must be repaid with interest over time
    - **Mortgages** are long-term loans used to buy property, where the property acts as security until fully repaid
    - An overdraft is a short-term way to borrow money from a bank by spending more than is in a current account, up to an agreed limit

Advantages and disadvantages of lending from banks

Advantages	Disadvantages
• May offer both **short-term finance** (e.g. **overdrafts**) and **long-term finance** (e.g. loans or **mortgages**) if a business qualifies • Banks are often keen to provide **free advice** and guidance to businesses that use their services • Small sums may be borrowed **unsecured**	• A **business plan** is usually required to access bank finance • Banks can be cautious about lending to new, untested businesses • Interest and arrangement fees may be applied • Businesses **must be customers** of the bank (i.e. hold a banking account) to access some loans • For larger amounts, businesses may need to provide **security** to be granted a loan

Help me understand

Peer-to-peer funding

- Individuals with available savings can **pool their savings with others' in a peer investment scheme**, such as Funding Circle

Advantages and disadvantages of peer-to-peer funding

Advantages	Disadvantages
• Loans can usually be made available to businesses very quickly • Usually has no strings attached (e.g. a **share** of the business)	• **Borrowers are charged a small fee** to access finance in this way and have to **pay interest** in the same way as they would for a bank loan ○ The individuals who made the money available in the first place receive some of this interest as compensation

Business angels

Advantages and disadvantages of business angels

Advantages	Disadvantages
• **Business angels** tend to be more willing to take a risk than banks • Angels often offer **advice and guidance** to the businesses in which they invest • Investment is usually for a determined period of time, so owners regain shares in the future	• Finding the right business angel (e.g. **with appropriate experience**, expertise or interest) can be challenging ○ **Networking is vital** when entrepreneurs seek this kind of investment • As business angels own a stake in the business, they may be **involved in decision-making** and will receive a share of business profits

Crowdfunding

- Crowdfunding is a way of raising finance by asking a large number of people to each contribute a small amount of money
- The business owner creates a campaign on a crowdfunding website (such as **Crowdfunder** or **Kickstarter**), explaining their idea and how much money they need
- Members of the public can then choose to invest or donate

Different types of crowdfunding

- **Donation-based**
  - People give money to support a cause or project without expecting anything in return
- **Reward-based**
  - Backers receive something in return, such as an early version of the product
- **Equity-based**
  - People invest in exchange for shares in the business

Advantages and disadvantages of crowdfunding

Advantages	Disadvantages
• Creates an **organic customer base**, and the platform provides a form of **free marketing** • A good **credit rating** is not	• Businesses need to provide a **persuasive business plan** to convince individuals to invest in their product, as these businesses will be **competing with many other projects online**

record can attract funding	attracting enough crowdfunding capital

- Investors are often attracted by incentives
  - Examples of incentives include **samples** or **early access to a product**
    - E.g. in November 2022, well-known Twitter commentator Russ Jones published his long-awaited book funded via Unbound, a crowdfunding publisher

Other businesses

- It may be possible for a business to access finance via a **joint venture** with another business, such as a **key customer** or **supplier**
- Some large businesses **buy shares in other companies** as an investment or with the intention of a **takeover**
  - E.g. in 2018, Mike Ashley, owner of Sports Direct, acquired a stake of just under 30% of Debenhams, a troubled British high street retailer, to eventually take over the company

Advantages and disadvantages of finance from other businesses

Advantages	Disadvantages
• May provide access to business processes and market knowledge alongside financing • May get access to large amounts of finance	• Profits need to be shared between businesses • Decisions will usually need to be agreed upon by all businesses

Examiner Tips and Tricks

Recently, some sources of finance have been trickier to access. When assessing **external sources of finance** in your answers, acknowledge that businesses may find accessing these sources more challenging and expensive than in previous years. Many small to medium-sized businesses are often **undercapitalised** in their early stages. This has restricted their ability to grow.

Peer-to-peer lending, crowdfunding and sources such as business angels have been able to fill some of the gaps left by changes in the banking industry.

Recognising that a business **may not be able to achieve its objectives** due to an inability to borrow can be a useful evaluative point.

- Businesses have many different methods of finance available to help them achieve their objectives

Key methods of external finance

Several methods of finance are available to businesses, including loans, share capital, venture capital, overdrafts, leasing, trade credit and grants

Loans

- A sum of money is borrowed and repaid (with interest) over a determined period of time
- **Bank loans are usually unsecured** and are typically repaid over two to ten years
- **Mortgages are long-term secured loans**
  - They are typically used by a business to purchase buildings, land or large items of **capital equipment**
- **Debentures are long-term agreements** between a business and a lender to repay a specified amount (with a fixed rate of interest) by a certain date
  - Debenture holders are **creditors** rather than owners of a business and do not hold voting rights

Benefits and drawbacks of loans

Benefits	Drawbacks
• Interest rates are fixed for the term of the loan • Repayments are made in equal instalments, helping with budgeting • Businesses can purchase expensive equipment or property without the need for large amounts of capital • Control over decision-making is retained within the business • With debentures, interest is fixed, aiding budgeting	• Interest rates depend on the business's **credit rating** • **Non-current liabilities** are increased in the balance sheet • With a mortgage, missed payments may lead to the property being **repossessed** • Failure to repay debentures may deter investors in the future

Overdrafts

- An arrangement for a business current account holder to spend **more money** than it has in its account

Benefits and drawbacks of overdrafts

Benefits	Drawbacks
• A **short-term** source of finance that offers significant flexibility and aids **cash flow**	• An overdraft may be "**called in**" if the bank is concerned about a business's ability to repay what it owes

Share capital

- Share capital is finance **raised from the sale of shares** in a limited company
- Shareholders are the owners of shares, and they are **entitled to a share of the company's profit** when **dividends** are declared

Benefits and drawbacks of share capital

Benefits	Drawbacks
• Large amounts of capital can be raised, especially by public limited companies • Interest is not payable on finance raised in this way	• Shareholders usually have a **vote at a company's annual general meeting** (AGM), where they can have a say in the composition of the board of directors

Venture capital

- **Funds provided by specialist investors** to small to medium-sized businesses that have significant potential for growth, e.g. in the technology sector

Benefits and drawbacks of venture capital

Benefits	Drawbacks
• Businesses that may have been **refused finance from other sources** may be able to attract investment from less risk-averse venture capitalists	• Venture capitalists **usually require a stake in the business** in return for finance and often expect to **exert some control** over the business

Leasing

- An asset, such as a piece of machinery or a vehicle, can be used by a business in return for **regular payments**

Benefits and drawbacks of leasing

Benefits	Drawbacks
• The business **does not own the asset** during the period of the lease and so is not responsible for maintenance or repair costs	• Leasing is usually **more expensive in the long run** than buying an asset

Trade credit

- Trade credit is an agreement made with suppliers to buy raw materials, components or stock that is paid for at a later date, typically 30 to 90 days later

Benefits and drawbacks of trade credit

Benefits	Drawbacks
• Trade credit is usually **interest-free**	• **Discounts** for early payment will not be available

Grants

- Governments and industry trusts may offer grants that do not need to be repaid if a business **meets specific criteria**
  - E.g. grants may be available for businesses that create jobs or improve infrastructure in a region

Benefits and drawbacks of grants

Benefits	Drawbacks
• Grants **do not need to be repaid**	• The business must use the finance for its **intended purpose**

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